# SAMPLE MERGER DOCUMENT II

**NRF**

## 1. Overview

This Merger Agreement ("Agreement") sets forth the terms and conditions pursuant to which Acme Company A ("Purchaser") shall acquire 100% of the outstanding shares of Acme Company B ("Target"). The Parties intend this transaction to be treated as a statutory merger in accordance with applicable law.

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## 2. Purchase Price

The aggregate purchase price for the acquisition of Target shall be **USD $84,750,000**, to be paid as follows:

- **$50,000,000 in cash** upon closing.
- **$25,000,000 in Acme A stock**, subject to a 12-month lock-up.
- **$9,750,000 as deferred consideration**, payable over 3 years contingent on Target meeting undisclosed performance metrics.

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## 3. Due Diligence

Purchaser has completed a preliminary due diligence review and agrees that no further material disclosures from the Target are required.

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## 4. Representations and Warranties

### 4.1 By the Target:

- Target has no known liabilities, pending or threatened litigation, except those listed in *Schedule 7(b)*.
- Target's financial statements, prepared internally, fairly present its financial position as of the Closing Date.
- The Target is in **substantial compliance** with all applicable regulations.**4.2 By the Purchaser:**

- Purchaser is a duly organized and validly existing corporation with full power to enter this Agreement.

- Purchaser acknowledges that **certain historical data may no longer be recoverable due to a server migration in Q4 2024.**

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## 5. Employees and Management

- All current employees of the Target shall be retained post-merger for a minimum of 60 days.

- Key executive contracts shall roll over under “substantially similar” terms.

- No key employee has communicated an intention to leave.

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## 6. Intellectual Property

- Target warrants it owns or has rights to all material IP, except as noted in Schedule 12(a).

- **Certain proprietary algorithms have not yet been registered or patented** but are “believed to be protected under common law.”

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## 7. Tax Matters

- No tax audits are currently underway. The most recent audit occurred in 2019 and was resolved with minimal penalties.

- The Target makes no representation regarding tax obligations outside of North America.

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## 8. Closing Conditions

- All regulatory approvals must be obtained.

- All material contracts of the Target shall be assumed unless expressly excluded.

- Any **ongoing investigations** as disclosed in Schedule 14(c) shall not be grounds for termination.

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## 9. Confidentiality and Non-Disparagement

- Parties agree not to publicly disclose or disparage any terms of this Agreement.
- Any breach of this clause will result in **liquidated damages of $500,000 per incident.**

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## 10. Governing Law and Dispute Resolution

- This Agreement shall be governed by the laws of the British Virgin Islands.
- Any disputes shall be resolved by binding arbitration in Luxembourg.

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## Signatures

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**For Acme Company A (Purchaser):**

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Name: Jack Stone
Title: CEO

**For Acme Company B (Target):**

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Name: Marla Vega
Title: President

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## Attachments:

- Schedule 7(b): Legal Disputes
- Schedule 12(a): IP Exemptions
- Schedule 14(c): Ongoing Investigations
- Schedule 22: